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THE CEO'S GUIDE TO CORPORATE FINANCE



What I learned from reading McKinsey's perspective on how CEOs should think about corporate finance.

The central question:

> "How do financial decisions create value for the company and its shareholders?"

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THE 4 PRINCIPLES OF CORPORATE FINANCE



1. CORE VALUE CREATION

Focus on ROCI and growth to understand whether the business is actually creating value.



2. CONSERVATION OF VALUE

Before committing capital, ask whether the resulting cash flow will create value.



3. EXPECTATION

Value is influenced by expectations around future performance, ROCI, growth and stock-price performance.



4. BEST OWNER / DIFFERENT VALUE

The same business can create different value under different owners depending on their capabilities, resources and strategy.

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APPLYING THE PRINCIPLES TO M&A



An acquisition should not be judged simply by whether the combined company creates value.

The key question is:

> "What value does the transaction create for the shareholders of the acquiring company?"

So, the focus should be on whether the acquisition creates value beyond the value already reflected in the target.

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DIVESTITURE: SOMETIMES LESS CAN BE MORE



Selling a business does not automatically mean destroying value.

The potential value of a business can change depending on:

- Lifecycle
- Demand
- Technology
- Capabilities
- Ownership

A business that may not create sufficient value under one owner could potentially create more value under another.

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DON'T LOOK ONLY AT THE EXPECTED RETURN



A financial decision should not be evaluated only on its expected value.

Management should also ask:

"What happens if the downside scenario occurs?"

And:

"Can the company absorb the downside without putting future cash flows at risk?"

This makes downside risk an important part of corporate finance decision-making.

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MY KEY TAKEAWAY



Corporate finance is not just about deciding where money should go.

It is about balancing:



Value creation + Future expectations + Best ownership + Downside risk

My biggest takeaway:

> “The right financial decision is not necessarily the one with the highest expected return, but the one that creates value while keeping the downside manageable.”